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THEMES AND VARIATIONS

Artur Rubinstein, the great pianist, who died in 1982, was once asked to judge a piano competition in London. The scorecards were to be marked on a scale of one to twenty, the most gifted to receive the highest number. Rubinstein listened intently to the students' recitals and marked his cards as each finished. When the sponsors of the competition examined the scores at the end of the competition they were astonished to see that most of the players had been given zeros and a few, twenties; there were no intermediate scores. The sponsors hurried to the great master and demanded to know why he had judged the entrants in such an arbitrary manner.

"Simple enough," replied the virtuoso. "Either they can play the piano or they cannot."

The Rubinstein Rule is critically important to my approach to the stock market. Rather than build a broadly diversified stock portfolio, I believe in determining themes I think will be played out over the next several years and then identifying groups of stocks that reflect those themes. My portfolio may own a considerable number of stocks, but most of them by far will fall into a half-dozen or fewer themes. The Rubinstein Rule dictates that either a stock group is worth playing or it is not worth considering at all.